



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
 Commonwealth Avenue, Quezon City

ANNEX "QQQQ"

OFFICE OF THE CHAIRPERSON
INTELLIGENCE AND CONFIDENTIAL FUNDS AUDIT OFFICE

AOM No. 2024 - 171

AUG 08 2024

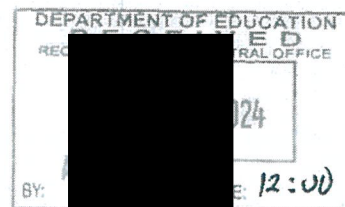
AUDIT OBSERVATION MEMORANDUM

Honorable **JUAN EDGARDO M. ANGARA**
 Secretary
 Department of Education

Attention: **Vice President Sara Z. Duterte**
 Former Secretary

Mr. Edward D. Fajarda
 Special Disbursing Officer

Ms. Ma. Rhunna L. Catalan
 Chief Accountant



COMMISSION ON AUDIT
 CERTIFICATE COPY

DAV
 Adm. de VI

We have audited Liquidation Report (LR) No. 2023-09-30 dated September 29, 2023 and its supporting documents submitted to this Office for the liquidation of the cash advance of **Mr. Edward D. Fajarda** as the Special Disbursing Officer (SDO) for confidential expenses of that agency for the period July 12 to September 29 of Calendar Year 2023, granted under check no. 2250 dated July 11, 2023, amounting to ₱37,500,000.00 and noted the following deficiencies:

The propriety of the transactions could not be ascertained as the submitted LRs were not fully supported with complete and proper documentations required under Joint Circular (JC) No. 2015-01 dated January 8, 2015 of the Commission on Audit, Department of Budget and Management, Department of Interior and Local Government, Governance Commission for GOCCs, and Department of National Defense

- Item 4.12 of the JC requires that disbursements from Confidential Fund (CF) shall be supported with documentary evidence of payment (DEP), among others, which shall be submitted to the Intelligence and Confidential Fund Audit Office in a sealed envelope signed by the SDO.

Moreover, item 6.2.3.3 of the same JC provides that the liquidation of cash advance for CF shall be supported by DEPs as required under Item 4.12 of the

Further, Annex B of the JC prescribes the format of the Certification of the Accountable Officer of the CF signed under oath, wherein item b of the said document certifies that the supporting documents in connection to the expenses incurred are attached to the liquidation for CF.

Finally, Annex C of the JC prescribing the template of the Accomplishment Report as indicated at the bottom of the template requires that evidence of payment for confidential expenses must be attached to the Accomplishment Report.

The submitted liquidation report with its supporting documents lacked the DEPs as proof that the CF was disbursed in accordance with the provision of item 4.8 of the JC. Thus, Management is required to submit the DEPs in compliance with the abovestated provisions of the JC.

2. Item 4.8.5.b of same JC provides that payment of rewards to informers (non-employee of concerned Agency) must be supported with documents evidencing the success of the information gathering and/or surveillance activities on account of the information given by the informer.

We noted that the payments of reward to the informers in the amount of ₱6,371,000.00 as reflected in the Accomplishment Report were not supported with documents specified in the immediately preceding paragraph, thus, non-compliant with the JC. Accordingly, submission of the supporting documents evidencing the success of the information gathering and/or surveillance activities on account of the information given by the informers is required.

3. Item 4.2 of the JC provides that all allocations for CF shall be supported with a Physical and Financial Plan (PFP) (Annex A of the JC) indicating the proposed amount allocated for each program, activity, and project, where disbursements pertaining to confidential expenses shall be based.

The submitted PFP did not reflect the specific confidential activities where the disbursements pertaining to confidential expenses shall be based. Thus, the PFP is not in accordance with the requirement under item 4.2 of the JC.

4. Item 6.1.5 of the JC states that the Disbursement Voucher (DV) shall clearly state the duration of implementation of the projects.

Examination of the supporting documents showed that the DV did not indicate the period covered by the cash advance, thus, non-compliant with item 6.1.5 of the JC.

5. Item 4.8.1 of the JC provides that the CF shall be used only for Confidential Expenses including purchase of information necessary for the formulation and implementation of program, activities and projects relevant to national security and peace and order.

Analysis of the submitted Accomplishment Report revealed that the amount of ₱2,540,000.00 was used for the purchase of information relative to car loan scams whose victims are mostly personnel of the Department of Education. These expenses do not fall under item 4.8.1 of the JC, nor are intended to support the manda

operations of the Department of Education as defined under item 3.9 of the JC. Thus, the same should not be charged against the CF of the agency.

We recommend that the officials concerned submit the required documents and the necessary justifications with the corresponding supporting documents on the deficiencies noted.

Further, we require Management to strictly comply with the requirements provided under JC No. 2015-01 dated January 8, 2015 in its succeeding transactions pertaining to confidential funds.

May we have your comments on the foregoing audit observations within fifteen (15) calendar days from receipt hereof.

In case of your failure to reply within the specified period above, our audit observations shall be deemed accepted and in case of failure to submit the required documents or information/justifications needed to reach an audit decision, a Notice of Suspension/Notice of Disallowance may be issued, as warranted, after a re-evaluation of available documents/information pursuant to item 8.4 of the Rules and Regulations on Settlement of Accounts.

By Authority of the Chairperson

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Assistant Commissioner
Officer-in-Charge

Proof of Receipt of AOM:

Name/Designation	Date Received
VP Sara Z. Duterte Secretary	8/9/2024
Mr. Edward D. Fajarda SDO	
Ms. Ma. Rhunna L. Catala Chief Accountant	8/9/2024
COA ATL - DepEd	8/9/2024

RCW/GAC/RRS/NBP

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DAVIN
Admin